(11) Income Taxes

At February 28, 1999, the Company had net operating loss carry-forwards for Federal and state income tax purposes of approximately $216 million and $95 million respectively, which expire through 2014.

Under SFAS 109 "Accounting for Income Taxes" the Company utilizes the liability method of accounting for income taxes. Accordingly, the Company has recorded a deferred tax benefit of approximately $93 million for Fiscal 1999 and $23 million for Fiscal 1998. The Company has also recorded a valuation account to fully offset the deferred benefit due to the uncertainty of the realization of this benefit.

As of September 19, 1997, NewCom, Inc. is no longer included in the Company's consolidated Federal tax return since the Company's ownership percentage was reduced below 80% as of that date. In connection with the deconsolidation of NewCom, Inc. for Federal income tax reporting purposes, the Company recognized an income tax benefit of approximately $1.3 million for financial reporting purposes in the accompanying statement of operations for Fiscal 1998. The Company's Japanese subsidiary, MYS Corporation, pays income taxes to the Japanese government at an effective rate of approximately fifty eight percent. At February 28, 1999 and February 28, 1998, MYS Corporation had a current income tax receivable and liability of approximately $153,000 and $176,000, respectively.